Microsoft Corp.

1Q27 Recap: Another Quarter of Better Azure and Office Growth Should Drive Shares

We see MSFT shares continue to work from here. With Azure growth now in the high 40s YoY and Office growth in the high teens and accelerating further from here, we can see how AI is helping MSFT growth from several vectors. Given how early the AI theme is, this can continue.

Sentiment was positive going into Q1 FY27 earnings and MSFT did not disappoint. We think there can be an ongoing follow-through though as we see shares still under-owned in the Long-Only community (partly due to the underweight-software theme). Azure, at much larger scale, is approaching 50% YoY growth, and we can see how some of the capacity push-outs into H2 indicate that this might not be the end of the story. However, more important to us is that the other large franchise for MSFT, Office, is also accelerating (19% YoY in constant currency, fully adjusted), a trend management thinks will continue in the coming quarters. Office success is especially important as it comes with better gross margin and is also a business that enables greater differentiation. This MSFT success does not come to the detriment of the capital position as MSFT again mentioned positive FCF for the year. In other words, MSFT is offering the best of both worlds: better growth from AI but without the high debt burden risk. We maintain our Overweight rating.

The Numbers: Agents & Infra grew +24.5% y/y, or 1.6% ahead of Street estimates. Azure growth accelerated to 48% YoY in cc (vs. 42% last quarter). The Devices & Consumer segment beat expectations by 3.0% though was down -3.2% y/y. Gross margin of 67.8% was ahead of consensus (66.3%). Operating margins were ahead as well (49.8% vs. 48.3% consensus), and EPS beat by ~4.2% (net income and diluted EPS were impacted by net gains from investments in OpenAI, which resulted in an increase in net income of $207 million and diluted earnings per share of $0.03).

Positives: (1) Azure revenue growth accelerated to 48% y/y, ahead of expectations despite third-party capacity delays, driven by Foundry and improved CPU monetization. Azure is expected to grow 49%-50% cc in 2Q27, with demand continuing to exceed available supply. (2) M365 Commercial Cloud grew 18% y/y in cc on an adjusted basis, supported by continued Copilot momentum, with ARPU growth led by premium offerings including M365 Copilot, E5 and E7, while Copilot revenue growth accelerated q/q. (3) Q1 delivered a solid top-line beat across all segments, with a total revenue beat of 1.8%, and an Agents & Infra beat of 1.6%. (4) FCF remained positive at $18.6bn despite elevated investment, while MSFT guided Q2 CapEx to

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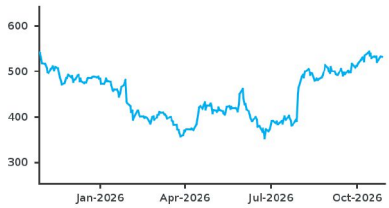
MSFT	OVERWEIGHT Unchanged
U.S. Software	POSITIVE Unchanged
Price Target	USD 610.00 raised 2% from USD 600.00
Price (28-Oct-26)	USD 531.01
Potential Upside/Downside	+14.9%

Source: Bloomberg, Barclays Research

Market Cap (USD mn)	3943383
Shares Outstanding (mn)	7426.19
Free Float (%)	99.88
52 Wk Avg Daily Volume (mn)	31.9
Dividend Yield (%)	0.74
Return on Equity TTM (%)	34.04
Current BVPS (USD)	59.56

Source: Bloomberg

Price Performance	Exchange-Nasdaq
52 Week range	USD 553.72-349.20



Source: LSEG Data & Analytics, Bloomberg
Link to Barclays Live for interactive charting

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>$50bn and CY26 CapEx to ~$170bn, with spend expected to accelerate in 2H FY27 as delayed third-party capacity comes online and investment in CPUs and GPUs continues.

Negatives: (1) Mgmt expects operating margins to decline slightly y/y in 2Q27, with COGS growth of 26%-27% outpacing revenue growth of 18%-19% as MSFT continues to invest in R&D, compute capacity, and talent. (2) Windows OEM and Devices revenue remains pressured by elevated channel inventory, soft PC market demand, and a difficult comparison from Windows 10 end-of-support, with these headwinds expected to persist through the remainder of FY27. (3) Commercial bookings declined 12% y/y (-11% cc), reflecting a difficult comp from large Azure commitments in the prior year.

Potential Catalysts: Q2 FY27 earnings in January (tentatively).

MSFT: Quarterly and Annual EPS (USD)

	2026	2027			2028			Change y/y	
FY Jun	Actual	Old	New	Cons	Old	New	Cons	2027	2028
Q1	4.13A	4.65E	4.89A	4.73E	5.51E	5.67E	5.49E	18%	16%
Q2	4.14A	4.76E	4.84E	4.84E	5.71E	5.80E	5.71E	17%	20%
Q3	4.27A	4.84E	4.98E	4.90E	5.87E	6.03E	5.88E	17%	21%
Q4	4.74A	5.18E	5.29E	5.18E	6.26E	6.38E	6.25E	12%	21%
Year	17.28A	19.44E	20.00E	19.74E	23.34E	23.88E	23.51E	16%	19%
P/E	30.7		26.6			22.2			

Consensus numbers are from Bloomberg received on 28-Oct-2026; 12:50 GMT
Source: Barclays Research

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U.S. Software | POSITIVE

Microsoft Corp. (MSFT) | OVERWEIGHT

Income statement ($mn)	2026A	2027E	2028E	2029E	CAGR
Revenue	331,839	397,299	479,268	574,521	20.1%
EBITDA (adj)	198,685	252,365	318,511	394,318	25.7%
Operating profit (adj)	155,237	186,981	223,292	270,869	20.4%
Pre-tax income (adj)	165,934	186,519	222,402	269,949	17.6%
Net income (adj)	128,786	148,922	177,836	215,853	18.8%
EPS (adj) ($)	17.28	20.00	23.88	28.99	18.8%
Diluted shares (mn)	7,453	7,446	7,446	7,446	0.0%
DPS ($)	3.32	3.32	3.59	3.87	5.3%

Margin and return data	2026A	2027E	2028E	2029E	Average
EBITDA (adj) margin (%)	59.9	63.5	66.5	68.6	64.6
Operating margin (adj) (%)	46.8	47.1	46.6	47.1	46.9
Pre-tax (adj) margin (%)	0.0	0.0	0.0	0.0	0.0
Net (adj) margin (%)	38.8	37.5	37.1	37.6	37.7
ROIC (%)	26.4	24.8	22.8	22.3	24.1
ROA (%)	17.6	16.0	15.2	15.3	16.0
ROE (%)	30.2	26.3	24.8	23.8	26.3

Balance sheet and cash flow ($mn)	2026A	2027E	2028E	2029E	CAGR
Net PP&E	313,076	447,120	573,205	688,707	30.1%
Goodwill	119,651	119,646	119,646	119,646	0.0%
Cash and equivalents	76,843	66,914	147,898	241,235	46.4%
Total assets	758,376	931,860	1,167,324	1,409,678	23.0%
Short and long-term debt	31,067	36,090	66,090	66,090	28.6%
Other long-term liabilities	2,813	4,331	7,074	9,979	52.5%
Total liabilities	315,989	367,101	451,379	506,777	17.1%
Net debt/(funds)	-45,776	-30,824	-81,808	-175,145	N/A
Shareholders' equity	442,387	564,759	715,945	902,900	26.8%
Change in working capital	-4,895	-8,281	7,447	3,448	N/A
Cash flow from operations	182,935	236,518	310,914	373,045	26.8%
Capital expenditure	-115,948	-193,283	-221,304	-238,951	N/A
Free cash flow	66,987	43,235	89,610	134,094	26.0%

Valuation and leverage metrics	2026A	2027E	2028E	2029E	Average
P/E (adj) (x)	30.7	26.6	22.2	18.3	24.4
EV/sales (x)	11.8	9.9	8.2	6.8	9.2
EV/EBITDA (adj) (x)	19.8	15.6	12.3	10.0	14.4
Equity FCF yield (%)	1.7	1.1	2.3	3.4	2.1
Dividend yield (%)	0.6	0.6	0.7	0.7	0.7
Net debt/EBITDA (adj) (x)	0.2	0.1	0.3	0.4	0.3
Total debt/capital (%)	6.6	6.0	8.5	6.8	7.0

Revenue ($mn)	2026A	2027E	2028E	2029E	CAGR
More Personal Computing	54,052	52,172	52,285	53,405	-0.4%
Intelligent Cloud	137,791	183,850	240,844	305,279	30.4%
Productivity & Business Processes	139,996	156,942	171,661	184,627	9.7%
Deferred revenue	75,712	84,048	85,623	80,100	1.9%

Note: FY End Jun
Source: Company data, Bloomberg, Barclays Research

Price (28-Oct-2026) **USD 531.01**
Price Target **USD 610.00**

Why OVERWEIGHT?

Microsoft is arguably the leader in the cloud services market with Windows Azure and Office 365. It can drive better earnings growth as it transitions its on-premise install bases (Office and Windows Server) to its cloud platforms.

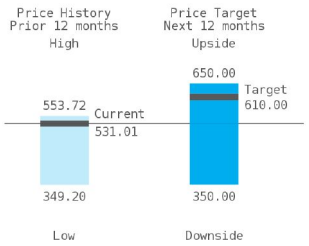
Upside case **USD 650.00**

Adoption of Office 365 and Azure could be faster than we expect, pushing the multiple higher. Device sales could exceed expectations, leading to revenue surprises.

Downside case **USD 350.00**

The transition to cloud services may not happen fast enough, causing revenue to miss estimates as the on-premise franchises (Windows, Office, Windows Server) erode.

Upside/Downside scenarios



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1Q27 Results Review

Below, we provide a detailed Q1 results table that compares actual reported numbers vs. ours and consensus' estimates.

FIGURE 1. Summary of Actual Results vs. Barclays and Consensus Estimates

$,mn	1Q26	1Q27	1Q27	Actual	1Q27	Actual
	Actual	Actual	Barclays	vs. Barclays	Cons	vs. Cons.
Agents & Infra	61,672	76,795	75,608	1.6%	75,606	1.6%
y/y growth	*22.2%*	*24.5%*	*22.6%*		*22.6%*	
Devices & Consumer	16,001	15,484	15,008	3.2%	15,036	3.0%
y/y growth	*5.9%*	*-3.2%*	*-6.2%*		*-6.0%*	
Revenue	77,673	92,279	90,616	1.8%	90,626	1.8%
y/y growth	*18.4%*	*18.8%*	*16.7%*		*16.7%*	
y/y growth (cc)	*17%*		0%			
Gross Profit	53,630	62,559	60,238	3.9%	60,092	4.1%
% margin	*69.0%*	*67.8%*	*66.5%*		*66.3%*	
Operating Income	37,961	45,915	43,373	5.9%	43,777	4.9%
% margin	*48.9%*	*49.8%*	*47.9%*		*48.3%*	
Net Income, non-GAAP	30,833	36,629	34,618	5.8%	35,162	4.2%
EPS, non-GAAP	4.13	4.92	4.65	5.8%	4.72	4.2%

Source: Company data, Barclays Research estimates, StreetAccount for consensus

Management Guidance

MSFT provided guidance for 2Q27, with top-line growth for Agents & Infra at +24-25% y/y and Azure growth expected at ~49-50% in cc, both above consensus, while Devices & Consumer revenue is expected to be $15.9-16.4bn, with the mid-pt coming in slightly below street expectations of $16.3bn. CapEx is expected to be over $50bn in Q2 (vs. consensus of $47.1bn), and mgmt. lowered guidance for total CapEx to be ~$170bn (prior: ~$175bn). CapEx is expected to accelerate in 2H27, primarily from CPUs, memory/storage, GPUs, and delayed third-party capacity deliveries. For Q2, FX is expected to have no meaningful impact on total revenue, COGS, OpEx growth, or revenue growth. For M365 Commercial Cloud specifically, FX is expected to reduce Q2 reported growth by <1 point. See detailed guidance below.

FIGURE 2. Summary of Management's Guidance (vs. Previous Barclays and Consensus Estimates)

$, bn	2Q27				
	Low	High	Barclays	Consensus	Diff to Mid
Agents & Infra	**80,100**	**80,700**	79,476	79,747	0.8%
Devices & Consumer	**15,900**	**16,400**	16,409	16,261	-0.7%
Total Revenue	**96,000**	**97,100**	95,886	95,677	0.9%
Cost of Goods	**32,700**	**32,900**	32,885	32,455	1.1%
Gross profit	**63,300**	**64,200**	63,001	62,626	1.8%
% Gross Margin	**65.6%**	**66.5%**	65.7%	64.9%	1.8%
Operating Expenses	**18,500**	**18,600**	18,594	18,524	0.1%
Operating Income	**44,800**	**45,600**	44,406	44,726	1.1%
% Operating Margin	**46.4%**	**47.2%**	46.3%	46.5%	0.8%

Source: Company Data, Barclays Research estimates, StreetAccount for consensus

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Agents and Infra

Microsoft's Agents and Infra segment growth of 25% y/y (same in cc) was ahead of consensus estimates (+22.6% y/y), with Copilot revenue growth accelerating sequentially and ARPU growth led by premium seat-based offerings (including M365 Copilot, E5 and E7). Microsoft 365 Commercial Cloud revenue grew 17% y/y on a reported basis, and 18% on an adjusted basis (19% in constant currency), normalized for the prior year comparable that benefited from 1pts of in-period revenue recognition.

- Azure revenue growth of 48% y/y (same in cc) was above our estimate of +45.0% in cc, driven by Foundry, improved GPU efficiency/higher revenue per token, and better monetization of underutilized CPU capacity, with broad-based strength across core cloud and AI infrastructure.
- M365 Consumer Cloud growth of 17% (16% in cc) was above our estimate of 15% on a reported basis.
- Industry solutions cloud grew 10% y/y (10% in cc), ahead of our expectation of 9% on a reported basis.
- Operating margin for the segment was down ~30bps y/y to 52.8% (from 53.1% in 1Q26). Operating expenses increased 10% y/y driven by continued investment in R&D, compute capacity, and talent, tied to the build-out of its AI and cloud infrastructure.

Devices and Consumer

Total Devices and Consumer segment declined -3% y/y in cc to ~$15.5bn in Q1, compared to our expectations that the segment would be down -6.2%.

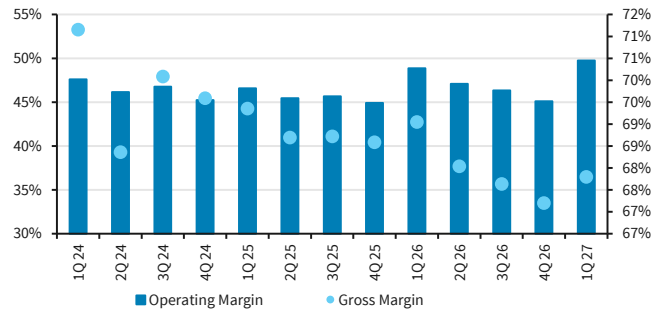
- Windows OEM and Devices revenue declined -22% y/y (vs. -7% last quarter and +5.1% in 1Q26), driven by tougher Windows10 EOS comps, OEM/channel inventory drawdowns, and weaker PC demand. MSFT expects these pressures to persist, driving a mid-30s decline in Q2.
- Total XBOX revenue declined -2% y/y (-1% in cc), ahead of our estimate of -7.3%. MSFT noted that the decline in growth was driven by declines in third-party content and Xbox Game Pass, partly offset by first-party content growth.
- Search Advertising revenue (ex-TAC) grew 12% (same in cc), driven by higher volume and rate across LinkedIn, Edge, and Bing. MSFT also noted that Bing and Edge continued to gain share.
- Operating margin for the segment improved to 34.6% versus 32.8% in 1Q26. Operating expenses declined 2.8% y/y driven by driven by lower Xbox expenses, partially offset by continued R&D investment.

Margins Above Consensus

Operating margin was up y/y in Q1 by 90bps, to 49.8%. Q1 non-GAAP EPS of $4.92 was above consensus estimates by ~4.2%.

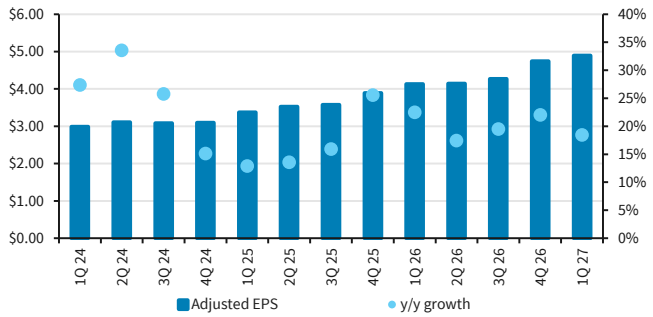
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FIGURE 3. **Gross & Operating Margin Trend**



Source: Company Data, Barclays Research

FIGURE 4. **Adjusted EPS**



Source: Company Data, Barclays Research

Takeaways from Callback

Beyond Azure and seats, MSFT's financing comment was mainly a show of strength: MSFT is AAA-rated and FCF generation, but it would issue debt if the right opportunity came along and sees little reason to raise equity while it's buying back stock. Management won't give a quarterly capacity number, even after ~1GW went live in each of the prior three quarters, because it doesn't want an overt focus on this on a quarterly basis. Mgmt said Copilot consumption in M365 is a different, slower curve than GitHub, since customers still need a seat first and both MSFT's sales motion and customers' procurement habits have to change before it becomes a larger TAM expansion. For modeling, mgmt said Gaming growth should step down from the Q2 guide in Q3 and again in Q4, and OEM should stay at about the Q2 rate of down mid-30s for the rest of the year.

Summary of Estimate Changes

We update our estimates to reflect Q1 performance and management's commentary around guidance and general business conditions. For a complete summary of our estimate changes, please refer to the figure below. We maintain our OW rating and raise our PT to $610 (from $600), based on our CY27E EPS estimate of $21.94 (prior: $21.39) and CY27E P/E multiple of ~28x (prior: ~28x) to reflect a slightly higher top-line and profitability growth expectation.

FIGURE 5. **Summary of Estimate Changes**

$,mn	2027E			2028E		
	New	Old	% Chg.	New	Old	% Chg.
Agents & Infra	334,839	330,770	1.2%	415,746	406,637	2.2%
Devices & Consumer	62,460	62,306	0.2%	63,522	64,104	(0.9)%
Non-GAAP Revenue	397,299	393,076	1.1%	479,268	470,741	1.8%
Non-GAAP Gross Margin	263,488	257,961	2.1%	306,973	301,782	1.7%
% margin	66.3%	65.6%		64.1%	64.1%	
GAAP operating profit	186,981	181,187	3.2%	223,292	217,870	2.5%
% margin	47.1%	46.1%		46.6%	46.3%	
Non-GAAP operating profit	186,981	181,187	3.2%	223,292	217,870	2.5%
% margin	47.1%	46.1%		46.6%	46.3%	
GAAP Net Income	148,674	146,700	1.3%	177,277	176,186	0.6%
Non-GAAP Net Income	148,922	144,667	2.9%	177,836	173,744	2.4%
GAAP EPS	19.97	19.71	1.3%	23.81	23.67	0.6%

Source: Company Data, Barclays Research

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Financial Model

FIGURE 6. Microsoft P&L

P&L $m	2025	1Q 26	2Q 26	3Q 26	4Q 26	2026	1Q 27	2Q 27E	3Q 27E	4Q 27E	2027E	2028E	2029E	2030E
Agents and Infra	218,783	61,672	64,441	67,438	74,575	268,126	76,795	80,536	84,486	93,023	334,839	415,746	508,980	608,044
y/y growth		22.2%	22.1%	23.1%	22.7%	22.6%	24.5%	25.0%	25.3%	24.7%	24.9%	24.2%	22.4%	19.5%
Devices and Consumer	62,941	16,001	16,832	15,448	15,431	63,712	15,484	16,219	15,326	15,430	62,460	63,522	65,541	67,815
y/y growth		5.9%	-0.2%	1.0%	-1.5%	1.2%	-3.2%	-3.6%	-0.8%	0.0%	-2.0%	1.7%	3.2%	3.5%
GAAP revenue	**281,724**	**77,673**	**81,273**	**82,886**	**90,006**	**331,839**	**92,279**	**96,755**	**99,812**	**108,453**	**397,299**	**479,268**	**574,521**	**675,858**
Non-GAAP revenue	**281,724**	**77,673**	**81,273**	**82,886**	**90,006**	**331,839**	**92,279**	**96,755**	**99,812**	**108,453**	**397,299**	**479,268**	**574,521**	**675,858**
y/y growth	14.9%	18.4%	16.7%	18.3%	17.7%	17.8%	18.8%	19.0%	20.4%	20.5%	19.7%	20.6%	19.9%	17.6%
Cost of Goods Sold	**87,831**	**24,043**	**25,978**	**26,828**	**29,525**	**106,374**	**29,720**	**32,785**	**34,042**	**37,264**	**133,811**	**172,295**	**211,061**	**251,792**
Non-GAAP gross profit	**194,853**	**53,630**	**55,295**	**56,058**	**60,481**	**225,465**	**62,559**	**63,970**	**65,770**	**71,189**	**263,488**	**306,973**	**363,460**	**424,066**
% gross margin	69.2%	69.0%	68.0%	67.6%	67.2%	67.9%	67.8%	66.1%	65.9%	65.6%	66.3%	64.1%	63.3%	62.7%
y/y growth	12.1%	15.5%	15.6%	16.4%	15.4%	15.7%	16.6%	15.7%	17.3%	17.7%	16.9%	16.5%	18.4%	16.7%
Research and Development	32,488	8,146	8,504	8,915	9,997	35,562	9,047	9,397	9,851	11,097	39,392	43,536	48,761	54,612
% of revenue	11.5%	10.5%	10.5%	10.8%	11.1%	10.7%	9.8%	9.7%	9.9%	10.2%	10.0%	9.1%	8.5%	8.1%
y/y growth	10.1%	8.0%	7.4%	8.7%	13.2%	9.5%	11.1%	10.5%	10.5%	11.0%	10.8%	10.5%	12.0%	12.0%
Sales and Marketing	25,654	5,717	6,584	6,814	7,595	26,710	5,716	7,177	7,427	8,355	28,674	31,198	34,347	38,125
% of revenue	9.1%	7.4%	8.1%	8.2%	8.4%	8.0%	6.2%	7.4%	7.4%	7.7%	7.2%	6.5%	6.0%	5.6%
y/y growth	4.9%	0.0%	2.2%	9.7%	4.3%	4.1%	(0.0)%	9.0%	9.0%	10.0%	7.4%	8.8%	10.1%	11.0%
General and Admin	7,223	1,806	1,932	1,931	2,287	7,956	1,881	2,067	2,057	2,436	8,440	8,947	9,484	10,053
% of revenue	2.6%	2.3%	2.4%	2.3%	2.5%	2.4%	2.0%	2.1%	2.1%	2.2%	2.1%	1.9%	1.7%	1.5%
y/y growth	(5.1)%	7.9%	6.0%	11.2%	14.9%	10.1%	4.2%	7.0%	6.5%	6.5%	6.1%	6.0%	6.0%	6.0%
Operating Expenses	**65,365**	**15,669**	**17,020**	**17,660**	**19,879**	**70,228**	**16,644**	**18,641**	**19,335**	**21,887**	**76,506**	**83,681**	**92,591**	**102,790**
y/y growth	6.2%	4.9%	5.2%	9.4%	9.8%	7.4%	6.2%	9.5%	9.5%	10.1%	8.9%	9.4%	10.6%	11.0%
Non-GAAP operating income	**128,528**	**37,961**	**38,275**	**38,398**	**40,602**	**155,237**	**45,915**	**45,329**	**46,435**	**49,302**	**186,981**	**223,292**	**270,869**	**321,276**
% operating margin	45.6%	48.9%	47.1%	46.3%	45.1%	46.8%	49.8%	46.8%	46.5%	45.5%	47.1%	46.6%	47.1%	47.5%
y/y growth	17.4%	24.3%	20.9%	20.0%	18.3%	20.8%	21.0%	18.4%	20.9%	21.4%	20.4%	19.4%	21.3%	18.6%
GAAP Other income and interest	(4,901)	(3,660)	9,971	942	3,444	10,697	38	(300)	(100)	(100)	(462)	(890)	(920)	(920)
GAAP provision for taxes	(21,795)	(6,554)	(9,788)	(7,562)	(8,281)	(32,185)	(9,324)	(9,137)	(9,401)	(9,983)	(37,845)	(45,126)	(54,773)	(65,001)
GAAP effective tax rate	17.6%	19.1%	20.3%	19.2%	18.8%	19.4%	20.3%	20.3%	20.3%	20.3%	20.3%	20.3%	20.3%	20.3%
GAAP Net Income	**101,832**	**27,747**	**38,458**	**31,778**	**35,765**	**133,749**	**36,629**	**35,893**	**36,933**	**39,219**	**148,674**	**177,277**	**215,176**	**255,355**
Shares outstanding, diluted	7,465	7,466	7,460	7,445	7,443	7,453	7,446	7,446	7,446	7,446	7,446	7,446	7,446	7,446
GAAP EPS, diluted	**13.64**	**3.72**	**5.16**	**4.27**	**4.81**	**17.95**	**4.92**	**4.82**	**4.96**	**5.27**	**19.97**	**23.81**	**28.90**	**34.29**
y/y growth	15.6%	12.5%	59.7%	23.3%	31.6%	31.5%	32.4%	(6.5)%	16.2%	9.6%	11.3%	19.2%	21.4%	18.7%
Non-GAAP Net Income	**107,170**	**30,833**	**30,875**	**31,792**	**35,285**	**128,786**	**36,422**	**36,023**	**37,114**	**39,361**	**148,922**	**177,836**	**215,853**	**256,160**
Non-GAAP EPS, diluted	**14.36**	**4.13**	**4.14**	**4.27**	**4.74**	**17.28**	**4.89**	**4.84**	**4.98**	**5.29**	**20.00**	**23.88**	**28.99**	**34.40**
y/y growth	17.0%	22.5%	17.4%	19.5%	22.0%	20.4%	18.4%	16.9%	16.7%	11.5%	15.7%	19.4%	21.4%	18.7%

Source: Company data, Barclays Research estimates

FIGURE 7. Microsoft Balance Sheet

Balance Sheet $m	2025	1Q 26	2Q 26	3Q 26	4Q 26	2026	1Q 27	2Q 27E	3Q 27E	4Q 27E	2027E	2028E	2029E	2030E
Total cash, cash equivalents, and shor	94,565	102,012	89,462	78,272	76,843	76,843	64,509	63,846	58,239	66,914	66,914	147,898	241,235	378,880
Accounts receivable	69,905	52,894	56,535	60,041	80,876	80,876	62,084	67,728	74,859	101,946	101,946	122,508	148,430	174,854
Inventories	938	1,130	1,059	1,219	1,397	1,397	1,835	5,805	5,989	6,507	6,507	7,820	9,474	11,161
Deferred income taxes	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other	25,723	33,030	33,134	35,797	48,594	48,594	57,709	57,709	57,709	57,709	57,709	57,709	57,709	57,709
Total current assets	**191,131**	**189,066**	**180,190**	**175,329**	**207,710**	**207,710**	**186,137**	**195,089**	**196,796**	**233,076**	**233,076**	**335,935**	**456,849**	**622,604**
Property and equipment	204,966	230,861	261,126	283,228	313,076	313,076	346,844	376,901	410,863	447,120	447,120	573,205	688,707	789,452
Equity and other investments	15,405	11,465	21,202	33,683	36,348	36,348	37,808	37,808	37,808	37,808	37,808	37,808	37,808	37,808
Goodwill	119,509	119,497	119,622	119,661	119,651	119,651	119,646	119,646	119,646	119,646	119,646	119,646	119,646	119,646
Total non current assets	**427,872**	**447,285**	**485,112**	**518,899**	**550,666**	**550,666**	**593,266**	**624,918**	**660,645**	**698,784**	**698,784**	**831,389**	**952,829**	**1,058,908**
Total assets	**619,003**	**636,351**	**665,302**	**694,228**	**758,376**	**758,376**	**779,403**	**820,007**	**857,441**	**931,860**	**931,860**	**1,167,324**	**1,409,678**	**1,681,512**
Accounts payable	27,724	32,580	37,328	37,513	42,416	42,416	42,625	46,992	45,390	49,685	49,685	49,312	58,149	65,619
Short-term debt	0	0	0	0	0	0	0	5,000	5,000	5,000	5,000	35,000	35,000	35,000
Short-term unearned revenue	64,555	58,987	51,376	50,924	72,965	72,965	66,866	58,458	56,259	80,790	80,790	82,303	76,995	66,787
Total current liabilities	**141,218**	**134,996**	**130,005**	**136,661**	**168,825**	**168,825**	**151,968**	**155,602**	**155,663**	**188,995**	**188,995**	**236,108**	**255,772**	**269,426**
Long-term debt	40,152	35,376	35,425	31,423	31,067	31,067	31,090	31,090	31,090	31,090	31,090	31,090	31,090	31,090
Long-term unearned revenue	2,710	2,546	2,668	2,753	2,747	2,747	2,697	2,358	2,269	3,259	3,259	3,320	3,106	2,694
Other long-term liabilities	2,186	2,589	2,439	2,612	2,813	2,813	3,043	3,441	3,876	4,331	4,331	7,074	9,979	12,971
Total non current liabilities	**134,306**	**138,279**	**144,422**	**143,200**	**147,164**	**147,164**	**156,926**	**163,935**	**170,306**	**178,106**	**178,106**	**215,270**	**251,005**	**284,351**
Total liabilities	**275,524**	**273,275**	**274,427**	**279,861**	**315,989**	**315,989**	**308,894**	**319,537**	**325,969**	**367,101**	**367,101**	**451,379**	**506,777**	**553,777**
Common stock and paid-in capital	109,095	110,964	112,788	115,069	117,406	117,406	119,571	119,803	120,035	120,267	120,267	120,803	121,339	121,875
Retained earnings	234,384	252,112	278,087	299,298	324,981	324,981	350,938	380,667	411,437	444,492	444,492	595,142	781,561	1,005,859
Total shareholders' equity	**343,479**	**363,076**	**390,875**	**414,367**	**442,387**	**442,387**	**470,509**	**500,470**	**531,472**	**564,759**	**564,759**	**715,945**	**902,900**	**1,127,734**
Total liabilities and equity	**619,003**	**636,351**	**665,302**	**694,228**	**758,376**	**758,376**	**779,403**	**820,007**	**857,441**	**931,860**	**931,860**	**1,167,324**	**1,409,678**	**1,681,512**

Source: Company data, Barclays Research estimates

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FIGURE 8. Microsoft Cash Flow

Cash Flow $m	2025	1Q 26	2Q 26	3Q 26	4Q 26	2026	1Q 27	2Q 27E	3Q 27E	4Q 27E	2027E	2028E	2029E	2030E
Net income	101,832	27,747	38,458	31,778	35,765	133,749	36,629	35,893	36,933	39,219	148,674	177,277	215,176	255,355
Depreciation, amortization and other	34,153	13,061	9,198	10,167	11,022	43,448	11,744	16,649	18,091	18,900	65,383	95,219	123,449	145,410
Share based compensation	11,974	2,983	3,219	3,081	3,122	12,405	3,134	3,134	3,134	3,134	12,536	12,536	12,536	12,536
Deferral of unearned revenue	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Change in OWC:	**(5,350)**	**(218)**	**(9,632)**	**331**	**4,624**	**(4,895)**	**2,115**	**(10,176)**	**(7,256)**	**7,036**	**(8,281)**	**7,447**	**3,448**	**(4,880)**
Accounts receivable	(10,581)	16,490	(3,436)	(4,707)	(21,084)	(12,737)	17,104	(5,644)	(7,130)	(27,087)	(22,758)	(20,563)	(25,922)	(26,424)
Inventories	309	(192)	70	(161)	(178)	(461)	(436)	(3,970)	(183)	(518)	(5,108)	(1,313)	(1,655)	(1,687)
Accounts payable	569	(614)	1,197	2,320	2,365	5,268	525	4,367	(1,602)	4,296	7,585	(373)	8,837	7,470
Other long term liabilities	(975)	(477)	(1,193)	(1,616)	(1,421)	(4,707)	4,240	1,561	457	733	6,991	15,022	13,690	11,834
Cash flow from operations	**136,162**	**45,057**	**35,758**	**46,679**	**55,440**	**182,935**	**58,000**	**50,109**	**55,512**	**72,897**	**236,518**	**310,914**	**373,045**	**426,857**
Additions to PP&E	(64,551)	(19,394)	(29,876)	(30,876)	(35,802)	(115,948)	(39,367)	(46,706)	(52,053)	(55,156)	(193,283)	(221,304)	(238,951)	(246,155)
Cash flow from investing	**(72,599)**	**(34,559)**	**(22,705)**	**(27,405)**	**(54,831)**	**(139,500)**	**(41,965)**	**(46,706)**	**(52,053)**	**(55,156)**	**(195,881)**	**(221,304)**	**(238,951)**	**(246,155)**
Common stock repurchased	(18,420)	(5,650)	(7,415)	(4,627)	(4,579)	(22,271)	(4,379)	(3,500)	(3,500)	(3,500)	(14,879)	(14,000)	(14,000)	(14,000)
Common stock cash dividends paid	(24,082)	(6,169)	(6,762)	(6,756)	(6,758)	(26,445)	(6,757)	(6,164)	(6,164)	(6,164)	(25,248)	(26,627)	(28,757)	(31,057)
Cash flow from financing	**(51,699)**	**(11,799)**	**(17,617)**	**(11,351)**	**(11,779)**	**(52,546)**	**(16,640)**	**(4,066)**	**(9,066)**	**(9,066)**	**(38,837)**	**(8,627)**	**(40,757)**	**(43,057)**
Cash at beginning of period	18,315	30,242	28,849	24,296	32,105	30,242	20,935	20,281	19,618	14,011	20,935	22,686	103,670	197,007
Cash at end of period	30,242	28,849	24,296	32,105	20,935	20,935	20,281	19,618	14,011	22,686	22,686	103,670	197,007	334,652
Free cash flow	**71,611**	**25,663**	**5,882**	**15,803**	**19,638**	**66,987**	**18,633**	**3,403**	**3,459**	**17,741**	**43,235**	**89,610**	**134,094**	**180,702**
y/y growth	-3.3%	33.3%	-9.3%	-22.2%	-23.2%	-6.5%	-27.4%	-42.2%	-78.1%	-9.7%	-35.5%	107.3%	49.6%	34.8%

Source: Company data, Barclays Research estimates

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Microsoft Corp. (MSFT)	monday.com Ltd (MNDY)	MongoDB, Inc. (MDB)
nCino, Inc. (NCNO)	Okta, Inc. (OKTA)	Omada Health, Inc. (OMDA)
OpenText Corp. (OTEX)	Oracle Corp. (ORCL)	Palo Alto Networks (PANW)
Paycom (PAYC)	Paylocity Holding Corp (PCTY)	Pegasystems, Inc. (PEGA)
Procore Technologies, Inc. (PCOR)	PTC Inc. (PTC)	Rapid7 (RPD)
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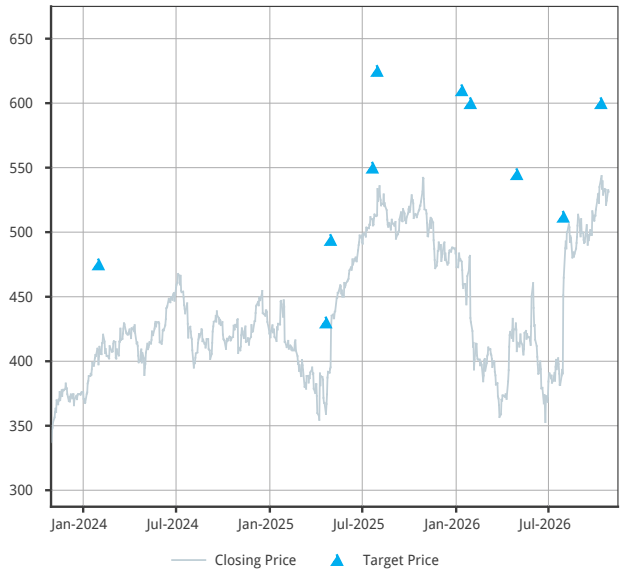
Microsoft Corp. (MSFT / MSFT)

Stock Rating: **OVERWEIGHT**

Industry View: **POSITIVE**

Closing Price: **USD 531.01** (28-Oct-2026)

Rating and Price Target Chart (as of 28-Oct-2026)



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
12-Oct-2026	535.07		600.00	USD
30-Jul-2026	390.54		512.00	USD
30-Apr-2026	424.46		545.00	USD
29-Jan-2026	481.63		600.00	USD
12-Jan-2026	479.28		610.00	USD
30-Jul-2025	513.24		625.00	USD
21-Jul-2025	510.05		550.00	USD
30-Apr-2025	391.16		494.00	USD
21-Apr-2025	367.78		430.00	USD
31-Jan-2024	408.59		475.00	USD

On 29-Oct-2023, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 421.00 USD.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

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Valuation Methodology: Our PT of $610 is based on P/E multiple of ~28x and CY27E EPS of $21.94.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: The emergence of cloud computing, virtualization and new non-PC form factors such as tablets and smart phones represent ongoing risks to Microsoft's business model and underlying profitability. Increased investment spend in long-term growth initiatives such as search and mobile could also cause margins to come under significant pressure.

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